

Credit Memo - The Goldman Sachs Group, Inc.

TO: Credit Committee

FROM: Financial Institutions Group

DATE: 2026-05-20

RE: Credit Memorandum - The Goldman Sachs Group, Inc. - \$5.0 Billion Unsecured Revolving Credit Facility

Executive Summary

This memorandum evaluates the creditworthiness of The Goldman Sachs Group, Inc. (NYSE: GS) in connection with a proposed \$5.0 billion unsecured revolving credit facility. Goldman Sachs is one of the world's preeminent investment banking, securities, and investment management firms, with total assets of \$2,060.2 billion as of Q1 2026. The proposed facility would support the firm's general corporate purposes and liquidity buffer.

Based on our analysis of the firm's financial performance through Q1 2026, we assign a preliminary internal risk rating of Investment Grade 2 (IG-2), reflecting Goldman Sachs' strong earnings power, substantial asset base, and robust capital position. The firm reported Q1 2026 net income of \$5.63 billion and diluted EPS of \$17.55, demonstrating continued profitability across market cycles.

Key credit considerations include: (1) a leverage ratio of approximately 16.8x (assets/equity), which is characteristic of large broker-dealer balance sheets but requires close monitoring; (2) stockholders' equity of \$122.8 billion providing a meaningful capital cushion; and (3) cash and cash equivalents of \$179.5 billion as of Q1 2026, representing approximately 8.7% of total assets. We recommend approval of the facility subject to financial covenants and reporting requirements detailed in Section 6.

Borrower Overview

The Goldman Sachs Group, Inc. is a leading global financial institution that delivers a broad range of financial services to a substantial and diversified client base that includes corporations, financial institutions, governments, and individuals. Goldman Sachs operates in the investment banking sector with a CIK of 0000886982 and trades on the NYSE under ticker symbol GS.

The firms principal business activities are organized into three core segments: Investment Banking, which provides advisory services for mergers, acquisitions, and restructurings as well as underwriting of equity and debt securities; Global Markets, which facilitates client transactions in fixed income, currencies, commodities, and equities and makes markets in derivative products; and Asset and Wealth Management, which provides investment management services to institutional and individual clients.

As of Q1 2026, Goldman Sachs reported total assets of \$2,060.2 billion and stockholders equity of \$122.8 billion, making it one of the largest financial institutions globally by balance sheet size. The firms recent SEC filing activity includes five 424B2 prospectus supplements filed on May 13, 2026, indicating active capital markets activity and ongoing access to public debt markets.

Goldman Sachs competitive position is underpinned by its premier investment banking franchise, deep client relationships across institutional and corporate segments, and its ability to generate substantial fee income from advisory and underwriting mandates. The firms scale and global reach provide significant competitive advantages in serving large, complex transactions.

Financial Analysis

Goldman Sachs demonstrated solid profitability during the periods under review. Net income for Q1 2026 was \$5.63 billion, compared to \$8.46 billion in Q2 2025 and \$4.10 billion in Q3 2025. Full year 2025 net income totaled \$17.18 billion, indicating the firms ability to generate substantial earnings through varying market conditions. The quarterly variance in net income reflects the inherent cyclicity of capital markets businesses, with Q2 2025 representing the strongest quarter in the period analyzed.

The firms balance sheet expanded materially over the period. Total assets grew from \$1,785.0 billion in Q2 2025 to \$2,060.2 billion in Q1 2026, an increase of \$275.2 billion or approximately 15.4%. This growth was accompanied by a corresponding increase in liabilities from \$1,660.9 billion to \$1,937.4 billion. Stockholders equity remained relatively stable, declining modestly from \$124.1 billion in Q2 2025 to \$122.8 billion in Q1 2026, a decrease of \$1.3 billion or 1.1%.

Cash and cash equivalents increased from \$153.0 billion in Q2 2025 to \$179.5 billion in Q1 2026, representing a \$26.6 billion increase. As a percentage of total assets, cash holdings represented approximately 8.6% in Q2 2025 and approximately 8.7% in Q1 2026, demonstrating the firms commitment to maintaining substantial liquidity buffers.

Key credit ratios as of Q1 2026 are as follows: The leverage ratio (total assets divided by stockholders equity) stands at 16.8x (\$2,060.2B divided by \$122.8B), which is elevated but within the range typical for large diversified financial institutions with significant broker-dealer operations. The equity-to-assets ratio of 5.96% (\$122.8B divided by \$2,060.2B) indicates that the firm maintains approximately \$6 of equity for every \$100 of assets. The cash coverage of liabilities ratio is 9.27% (\$179.5B divided by \$1,937.4B), meaning the firm holds cash equivalent to approximately 9.3% of its total liabilities.

Diluted earnings per share followed a similar pattern to net income, with Q1 2026 at \$17.55, Q2 2025 at \$25.07, Q3 2025 at \$12.25, and the full year 2025 at \$51.32. The FY2025 EPS of \$51.32 represents strong annual earnings power, while quarterly fluctuations align with the cyclicity observed in net income.

Capital Adequacy Assessment

Goldman Sachs capital position warrants careful analysis given the firm's significant balance sheet leverage. Stockholders equity at FY2025 was \$125.0 billion, declining to \$122.8 billion as of Q1 2026, a reduction of approximately \$2.2 billion or 1.75%. This decline occurred despite strong Q1 2026 net income of \$5.63 billion, suggesting that dividends, share repurchases, or other capital distributions exceeded earnings during the period.

The decline in the equity-to-assets ratio is more pronounced when examined over the full period. At FY2025, equity represented 6.91% of total assets (\$125.0B divided by \$1,809.3B), while by Q1 2026, this ratio had declined to 5.96% (\$122.8B divided by \$2,060.2B). The primary driver of this ratio deterioration was the \$250.9 billion increase in total assets from \$1,809.3 billion to \$2,060.2 billion, outpacing the relatively stable equity base.

The balance sheet expansion of approximately \$250.9 billion between FY2025 and Q1 2026 represents a 13.9% increase in total assets in a single quarter. This rapid growth may reflect increased client activity, market-making inventory expansion, or strategic positioning. While the firm's absolute capital level of \$122.8 billion remains substantial, the pace of asset growth relative to equity growth warrants monitoring.

The firm's capital buffer, defined as stockholders equity as a percentage of total assets, provides a cushion against potential losses. At 5.96%, Goldman Sachs maintains capital that would need to be entirely depleted before unsecured creditors face losses. However, in a stress scenario involving significant mark-to-market losses on the firm's \$2,060.2 billion asset base, even small percentage losses could erode capital materially. A 6% decline in asset values would theoretically eliminate the entire equity cushion.

Risk Factors

Risk Factor 1 - Elevated Leverage Profile: Goldman Sachs operates with an assets-to-equity ratio of 16.8x as of Q1 2026, which represents significant structural leverage. While this is characteristic of broker-dealer balance sheets where matched-book trading and client facilitation require large gross asset positions, it creates vulnerability to adverse market movements. A decline of approximately 6% in the value of total assets would theoretically impair the firm's equity base. This structural leverage risk is the most significant credit consideration for unsecured lenders.

Risk Factor 2 - Rapid Balance Sheet Expansion: Total assets increased by \$275.2 billion (15.4%) from Q2 2025 (\$1,785.0 billion) to Q1 2026 (\$2,060.2 billion). This rapid growth, if funded with short-term or callable liabilities, could create refinancing risk. The corresponding liability

increase from \$1,660.9 billion to \$1,937.4 billion indicates that the asset growth was predominantly debt-financed rather than equity-financed, further compressing the equity cushion.

Risk Factor 3 - Earnings Cyclicalities: Quarterly net income ranged from \$4.10 billion in Q3 2025 to \$8.46 billion in Q2 2025, representing a 2.1x variation between the strongest and weakest quarters. This earnings volatility is inherent to capital markets businesses but creates uncertainty in the firm's ability to maintain consistent cash flows for debt service. Diluted EPS ranged from \$12.25 to \$25.07 across the quarters analyzed, reinforcing this variability.

Additional considerations include the firm's reliance on short-term funding markets, the potential for mark-to-market losses in volatile markets, and the concentration of earnings in transactional businesses that are sensitive to market conditions and deal flow. The five 424B2 filings in May 2026 suggest active capital markets activity, which could indicate either strengthening or increased funding needs.

Facility Structure Recommendation

We recommend the following terms for the proposed \$5.0 billion unsecured revolving credit facility for The Goldman Sachs Group, Inc. Facility Size: \$5.0 billion unsecured revolving credit facility. Tenor: 364 days with a one-year extension option, or alternatively a 3-year tenor with annual renewals. Given the firm's investment-grade credit profile and active capital markets access (as evidenced by the five 424B2 filings in May 2026), a 364-day facility is preferred to align with market conventions for broker-dealer revolving facilities.

Pricing: Based on the firm's IG-2 credit rating and current market conditions, we recommend pricing at SOFR plus 75 basis points for drawn amounts, with a commitment fee of 20 basis points on undrawn amounts. Pricing should include a ratings-based grid with a 25 basis point step-up if the firm's senior unsecured credit rating falls below investment grade.

Financial Covenants: (1) Minimum Stockholders Equity covenant of \$100.0 billion, tested quarterly. This represents an 18.6% cushion below the current equity level of \$122.8 billion. (2) Maximum Leverage Ratio (total assets divided by stockholders equity) of 20.0x, tested quarterly. The current ratio of 16.8x provides a 16.0% buffer before triggering a covenant breach. (3) Minimum Liquidity covenant requiring cash and cash equivalents plus unencumbered liquid assets of at least \$150.0 billion.

Reporting Requirements: The borrower shall provide (1) quarterly consolidated financial statements within 60 days of quarter-end; (2) annual audited financial statements within 90 days of fiscal year-end; (3) quarterly compliance certificates signed by the CFO certifying compliance with all financial covenants; and (4) prompt notice of any material adverse change in the firm's financial condition or any event of default under other material debt agreements.

Additional Provisions: The facility should include a material adverse change (MAC) clause, cross-default provisions to other material debt obligations, and standard representations and warranties. The facility should be governed by New York law with standard lender protections typical for investment-grade revolving credit facilities.